Note 13 – Income Taxes

The details of our income tax provision are set forth below:

	2008	2007	2006
Current:			
Federal	**$ 93**	$168	$154
Foreign	**46**	25	36
State	**20**	26	30
	159	219	220
Deferred:			
Federal	**56**	(41)	(26)
Foreign	**(96)**	5	(35)
State	**(7)**	(6)	–
	(47)	(42)	(61)
	$112	$177	$159

In 2008, our tax provision includes the following significant items:

- *Tax impact from impairment charge* – During 2008, we recorded a deferred tax benefit of $115 million associated with impairment charges primarily related to our business in Mexico.
- *Tax impact from restructuring* – We incurred restructuring charges in the fourth quarter of 2008 which resulted in a tax benefit of $21 million.

In 2007, our tax provision included higher taxes on higher international earnings, as well as the following significant items:

- *Valuation allowances* – During 2007, we reversed deferred tax asset valuation allowances resulting in an $11 million tax benefit. These reversals were due to improved profitability trends in Russia.
- *Tax audit settlement* – The statute of limitations for the IRS audit of our 2001-2002 tax returns closed on June 30, 2007, and we released approximately $46 million in reserves for uncertain tax benefits relating to such audit.
- *Tax rate changes* – During 2007, changes to the income tax laws in Canada, Mexico and certain state jurisdictions in the U.S. were enacted. These law changes required us to re-measure our net deferred tax liabilities which resulted in a net decrease to our income tax expense of approximately $13 million before the impact of minority interest.

In 2006, our tax provision included increased taxes on U.S. earnings and additional contingencies related to certain historic tax positions, as well as the following significant items:

- *Valuation allowances* – During 2006, we reversed deferred tax asset valuation allowances resulting in a $34 million tax benefit. These reversals were due to improved profitability trends and certain restructurings in Spain, Russia and Turkey.
- *Tax audit settlement* – The statute of limitations for the IRS audit of our 1999-2000 tax returns closed on December 30, 2006, and we released approximately $55 million in tax contingency reserves relating to such audit.
- *Tax rate changes* – During 2006, changes to the income tax laws in Canada, Turkey and certain jurisdictions within the U.S. were enacted. These law changes required us to re-measure our net deferred tax liabilities using lower tax rates which decreased our income tax expense by approximately $11 million before the impact of minority interest.

Our U.S. and foreign income before income taxes is set forth below:

	2008	2007	2006
U.S.	**$ 428**	$474	$485
Foreign	**(154)**	235	196
	$ 274	$709	$681

Below is the reconciliation of our income tax rate from the U.S. federal statutory rate to our effective tax rate:

	2008	2007	2006
Income taxes computed at the U.S. federal statutory rate	**35.0%**	35.0%	35.0%
State income tax, net of federal tax benefit	**(0.5)**	2.2	4.2
Impact of foreign results	**(17.7)**	(4.5)	(1.8)
Change in valuation allowances, net	**4.2**	(3.5)	(7.5)
Nondeductible expenses	**11.9**	2.6	1.9
Other, net	**(3.5)**	1.5	1.3
Impairment charges	**10.5**	–	–
Release of tax reserves from audit settlements	**–**	(6.5)	(8.0)
Tax rate change charge (benefit)	**0.8**	(1.8)	(1.7)
Total effective income tax rate	**40.7%**	25.0%	23.4%

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PART II (continued)

The 2008 percentages above are impacted by the pre-tax impact of impairment and restructuring charges.

The details of our 2008 and 2007 deferred tax liabilities (assets) are set forth below:

	2008	2007
Intangible assets and property, plant and equipment	**$ 1,464**	$1,585
Investments	**305**	178
Other	**26**	41
Gross deferred tax liabilities	**1,795**	1,804
Net operating loss carryforwards	**(445)**	(366)
Employee benefit obligations	**(441)**	(248)
Various liabilities and other	**(279)**	(229)
Gross deferred tax assets	**(1,165)**	(843)
Deferred tax asset valuation allowance	**227**	244
Net deferred tax assets	**(938)**	(599)
Net deferred tax liability	**$ 857**	$1,205
Classification within the Consolidated Balance Sheets		
Prepaid expenses and other current assets	**$ (86)**	$ (129)
Other assets	**(26)**	(24)
Accounts payable and other current liabilities	**3**	2
Deferred income taxes	**966**	1,356
Net amount recognized	**$ 857**	$1,205

We have net operating loss carryforwards (“NOLs”) totaling $1,681 million at December 27, 2008, which resulted in deferred tax assets of $445 million and which may be available to reduce future taxes in the U.S., Spain, Greece, Turkey, Russia and Mexico. Of these NOLs, $12 million expire in 2009, $657 million expire at various times between 2010 and 2028, and $1,012 million have an indefinite life. At December 27, 2008, we have tax credit carryforwards in the U.S. of $4 million with an indefinite carryforward period and in Mexico of $34 million, which expire at various times between 2009 and 2017.

We establish valuation allowances on our deferred tax assets, including NOLs and tax credits, when the amount of expected future taxable income is not likely to support the use of the deduction or credit. Our valuation allowances, which reduce our deferred tax assets to an amount that will more likely than not be realized, were $227 million at December 27, 2008. Our valuation allowance decreased $17 million in 2008, and increased $49 million in 2007.

Deferred taxes have not been recognized on the excess of the amount for financial reporting purposes over the tax basis of investments in foreign subsidiaries that are expected to be permanent in duration. This amount becomes taxable upon a repatriation of assets from the subsidiary or a sale or liquidation of the subsidiary. The amount of such temporary difference totaled approximately $1,048 million at December 27, 2008 and $1,113 million at December 29, 2007, respectively. Determination of the amount of unrecognized deferred income taxes related to this temporary difference is not practicable.

Income taxes receivable from taxing authorities were $25 million and $19 million at December 27, 2008 and December 29, 2007, respectively. Such amounts are recorded within prepaid expenses and other current assets in our Consolidated Balance Sheets. Income taxes payable to taxing authorities were $20 million and $36 million at December 27, 2008 and December 29, 2007, respectively. Such amounts are recorded within accounts payable and other current liabilities in our Consolidated Balance Sheets.

Income taxes receivable from PepsiCo were $1 million and $7 million at December 27, 2008 and December 29, 2007, respectively. Such amounts are recorded within accounts receivable in our Consolidated Balance Sheets. Amounts paid to taxing authorities and PepsiCo for income taxes were $142 million, $195 million and $203 million in 2008, 2007 and 2006, respectively.

We file annual income tax returns in the U.S. federal jurisdiction, various U.S. state and local jurisdictions, and in various foreign jurisdictions. Our tax filings are subject to review by various tax authorities who may disagree with our positions.

A number of years may elapse before an uncertain tax position, for which we have established tax reserves, is audited and finally resolved. While it is often difficult to predict the final outcome or the timing of the resolution of an audit, we believe that our reserves for uncertain tax benefits reflect the outcome of tax positions that is more-likely than not to occur. We adjust these reserves, as well as the related interest and penalties, in light of changing facts and circumstances. The resolution of a matter could be recognized as an adjustment to our provision for income taxes and our deferred taxes in the period of resolution, and may also require a use of cash.

Our major taxing jurisdictions include the U.S., Mexico, Canada and Russia. The following table summarizes the years that remain subject to examination and the years currently under audit by major tax jurisdictions:

Jurisdiction	Years Subject to Examination	Years Under Audit
U.S. Federal	2003-2007	2003-2005
Mexico	2002-2007	2002-2003
Canada	2006-2007	2006
Russia	2005-2007	2005-2007

We also have a tax separation agreement with PepsiCo, which among other provisions, specifies that PepsiCo maintain full control and absolute discretion for any combined or consolidated tax filings for tax periods ended on or before our initial public offering that occurred in March 1999. In accordance with the tax separation agreement, we will bear our allocable share of any cost or benefit resulting from the settlement of tax matters affecting us for these tax periods. The IRS has issued a Revenue Agent's Report ("RAR") related to PBG and PepsiCo's joint tax returns for 1998 through March 1999. We have agreed with the IRS conclusion, except for one matter which continues to be in dispute.

We currently have on-going income tax audits in our major tax jurisdictions, where issues such as deductibility of certain expenses have been raised. In Canada, income tax audits have been completed for all tax

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years through 2005. We are in agreement with the audit results except for one matter which we continue to dispute for our 1999 through 2005 tax years. In January, 2009, we reached an agreement with the IRS related to our 2003-2005 audit years, which will result in a cash payment of approximately $4 million.

We believe that it is reasonably possible that our worldwide reserves for uncertain tax benefits could decrease in the range of $130 million to $170 million within the next twelve months as a result of the completion of audits in various jurisdictions, including the settlement with the IRS and the expiration of statute of limitations. The reductions in our tax reserves will result in a combination of additional tax payments, the adjustment of certain deferred taxes or the recognition of tax benefits in our income statement. In the event that we cannot reach settlement of some of these audits, our tax reserves may increase, although we cannot estimate such potential increases at this time.

Below is a reconciliation of the beginning and ending amount of our reserves for income taxes which are recorded in our Consolidated Balance Sheets.

	2008	2007
Reserves (excluding interest and penalties)		
Balance at beginning of year	**$220**	$239
Increases due to tax positions related to prior years	**18**	32
Increases due to tax positions related to the current year	**13**	15
Decreases due to tax positions related to prior years	**(11)**	(19)
Decreases due to settlements with taxing authorities	**(2)**	(6)
Decreases due to lapse of statute of limitations	**(7)**	(49)
Currency translation adjustment	**(19)**	8
Balance at end of year	**$212**	$220
Classification within the Consolidated Balance Sheets		
Other liabilities	**$209**	$212
Accounts payable and other current liabilities	**–**	5
Deferred income taxes	**3**	3
Total amount of reserves recognized	**$212**	$220

Of the $212 million of 2008 income tax reserves above, approximately $161 million would impact our effective tax rate over time, if recognized.

	2008	2007
Interest and penalties accrued	**$95**	$77

We recognized $23 million of expense and $1 million of expense, net of reversals, during the fiscal years 2008 and 2007, respectively, for interest and penalties related to income tax reserves in the income tax expense line of our Consolidated Statements of Operations.